UNIVERSAL MUSIC GROUP N V UMGNF

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by Supernova

			2026	2027
Price:	14.20	EPS	.99	1.09
Shares Out. (in M):	1,850	P/E	14.4	13.1
Market Cap (in $M):	26,270	P/FCF	15.4	14.1
Net Debt (in $M):	4,131	EBIT	0	0
TEV (in $M):	28,651	TEV/EBIT	0	0

Description

Capitalization	
Stock Price	€ 14.20
Shares outstanding	1,850
Market capitalization	€ 26,270
Net Debt	€ 4,131
Investments (SPOT, TME)	-€ 1,750
Enterprise value	€ 28,651

Elevator Pitch

Universal Music Group (UMG) is the world's largest music company. It is a wide-moat business that benefits from owning a must-have music catalog representing about a third of all commercially recorded music worldwide. It has many attributes of a great business: competitive moats via proprietary IP that cannot be replicated and scale-driven cost advantages; annuity-like recurring revenue, GDP+ organic growth, high returns, and an inherently stable business model.

On July 31st, its stock fell 25% when 2Q earnings showed subscription (streaming) revenue grew only 6.7% vs. a consensus of 9.3%. Adjusted for what appear to be temporary issues, underlying subscription growth would have met expectations. 2Q streaming growth at competitors Warner Music (+11%) and Sony Music (+10%) confirms the streaming market remains healthy.

The stock trades at 12.9x '27e consensus EPS versus a median forward P/E of 24.6x since its 2021 IPO. Adjusting for investment holdings in Spotify and Tencent Music, the P/E falls to 12.0x. Its '27e EV/EBITDA of 9.3x is well below the private market value of recent catalog acquisitions.

Company Description

UMG has three segments: Recorded Music, the Music Publishing Group, and Merchandising.

Segment	Revenue	EBITDA	EBITDA Margin
Recorded Music	75.6%	86%	25.6%
Music Publishing	18.1%	20%	24.3%
Merchandising & Other	6.5%	1%	2.0%
Corporate	—	-6%	—
Total	100%	100%	22.5%

The Recorded Music segment finds, signs, records, markets, and monetizes artists and songwriters, and it owns the resulting copyrights. Its label roster includes Interscope Geffen, Def Jam, Capitol, Island/EMI, Motown, Verve, and others. Virgin Music Group, now enlarged by the acquisition of Downtown Music, sells distribution and services to independent artists and labels. The Recorded Music segment accounts for about three-quarters of revenue and more than 80% of EBITDA.

About two-thirds of UMG's music catalog is its back catalog (defined as tracks older than three years), which provides a stable base of recurring revenue. This catalog includes legendary icons like The Beatles, Elton John, Bob Dylan, Queen, U2, Guns N' Roses, Nirvana, and the entire Motown catalog. Other pop icons they represent with deep catalogs include Justin Bieber, Katy Perry, Rihanna, Lady Gaga, Eminem, and Coldplay. Frontline assets (defined as music less than three years old) make up the remaining third and include artists such as Drake, Bad Bunny, and Olivia Rodrigo. While Taylor Swift owns her own catalog, UMG distributes her music, books her tours, and handles her merch -- basically managing the many aspects of her music career.

UMG licenses its music out for a small fee. Every time a recording UMG owns is streamed, bought, broadcast, performed, or placed in a film, UMG collects a toll.

I think of UMG as the landlord of music streaming. Digital Service Providers (DSPs) like Spotify, Apple, Amazon, and YouTube are the retail tenants; they cannot operate successfully without renting UMG's huge, high-quality music catalog. If a DSP lost access to its catalog, its subscriber base would face immediate risk. UMG enters DSP royalty-rate negotiations from a position of strength.

UMG has a very strong frontline business that creates new IP UMG can sell for decades. A recurring theme year in, year out is UMG artists dominating the charts. UMG has represented 8 out of the top ten global artists over the past decade. While technology has enabled more artists to go independent, almost

none of the most successful artists have succeeded without a major record label, and no one comes close to matching UMG.

The Publishing Group manages and commercializes the underlying intellectual property of songs, lyrics, and compositions. It's basically a business partner for the songwriter. It accounts for ~18% of revenue.

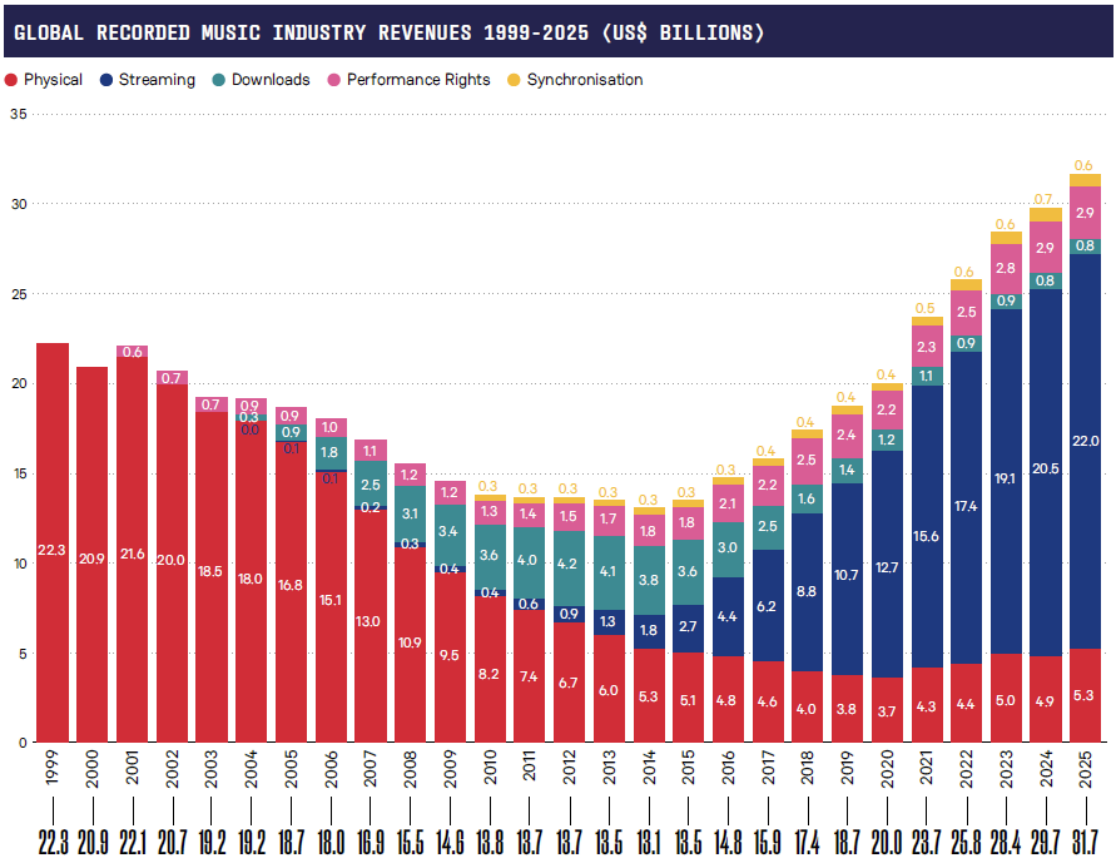
Bravado handles merchandising. It is small, lumpy, and currently losing money.

UMG is essentially a one-stop shop for everything a recording artist might need.

INVESTMENT THESIS

Understanding The Music Business

Streaming is the dominant music format today, representing 70% of the global market. UMG is riding the coattails of global subscriber growth and its latent pricing power.



UMG's streaming revenues are about 55% of total revenue, growing in the high single digits at 75-80% gross margins, far higher than other parts of the business. Given streaming's growth and profitability for UMG, success here is critical.

To illustrate streaming's importance to UMG, consider a Spotify Premium subscriber who pays $12.99 a month. Roughly 70% of that, about $9 a month, goes into a rights holders' royalty pool, which is then allocated to the music owners based on their share of monthly listenership. UMG's 33% market share of all commercially recorded music applied to the monthly royalty pool equals huge recurring revenue – roughly $2.25-$2.50 per Spotify subscriber per month (we don't know exactly because ownership doesn't translate 1:1 to listenership, DSP varies by geo., other nuances).

When a DSP's subscriber base grows, UMG participates. When DSPs raise prices, UMG participates. UMG is a direct play on global streaming growth.

Growth and profitability in other parts of the business are much lower. JPM estimates gross margins of 40-45% in physical, ~35% in publishing, and ~13% in merchandising. For distribution and services for independent artists (Virgin, Downtown), gross margins are only ~14%. Virgin's adjusted EBITDA margin was 4.1% in 2025, and Downtown's was about 5%. So this business is very margin-dilutive to the core business, but serves as a bit of a hedge because the independent labels and artists have been taking share.

UMG pays artists (~49% of revenue in H126) and product costs (~11%). These are highly variable. What remains covers a mostly fixed overhead. Margins have historically scaled as revenue has grown faster than costs, which management expects to continue.

While a record label's primary role is to record new hit music, it also takes on many other roles for the artist, such as marketing, promotion, merchandising, fronting tour costs, and managing royalty payments. UMG often makes large, upfront payments to artists smaller labels can't afford, then recoups them on the back end. Perhaps most importantly, UMG can negotiate more favorable royalty rates on behalf of the artists because of its size and scale.

Key business drivers include growth in global paid-streaming subscribers; subscription prices; share of listenership (which depends on making new hits and the depth of the back catalog); royalty terms negotiated with streaming companies like Spotify; and the artist-cost ratio.

The music industry leans towards an oligopoly, with UMG (33%), Sony (23%), and Warner Music (15%) accounting for 70% of recorded music revenue. Private equity has been an active buyer of back catalogs, seeing them as low-risk long-tailed annuities that are highly leveragable.

Competitive Advantages

1. Must-have content. A DSP that loses UMG loses about a third of the music a customer listens to. That's a deal breaker.
2. Intangible assets with very long lives. Copyrights run for the life of the author plus 70 years. Roughly 60% of listening is the back catalog.
3. Scale. 33% market share and 14 of the top 20 best-selling artists a year over the last decade, and nine of the top ten global artists in 2025.
4. Distribution.

I fed Claude my list of moat indicators. Here is its summary:

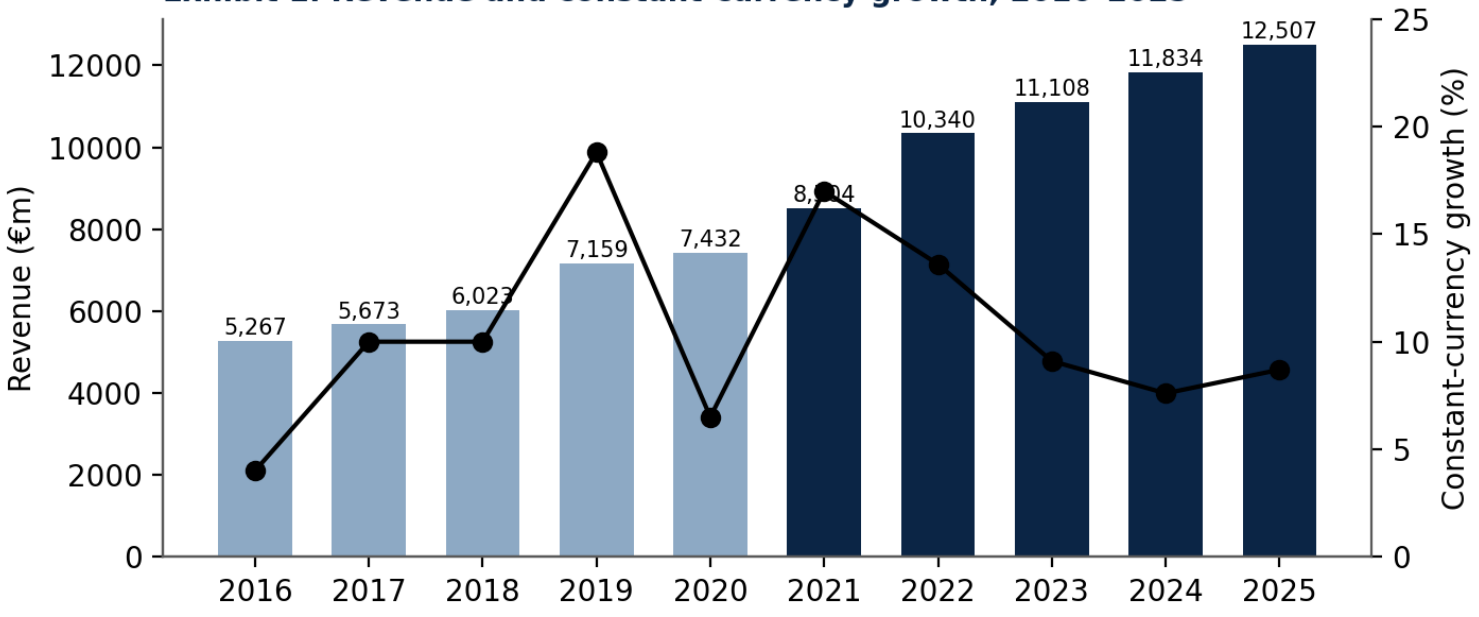
Moat indicator	Evidence	Verdict
Market share	#1 at 32.5% recorded music (2025), up from 31.7%	Strong
Pricing power	Wholesale escalators ~5%/yr; Spotify US +30% since 2023	Strong
Returns	ROIC ~25–30% incl. goodwill; >50% ex-intangibles	Strong
Margins	High teens → 22.5% over a decade; dip in 2026 on mix	Positive, not expanding now
Unit economics vs peers	Similar margin structure to Warner; larger scale	In line to better
Share trend	Sony fastest-growing major; non-majors ~30%	Slow drift

Source: Claude

Growth & Returns

Since its IPO five years ago, UMG has averaged 10.7% sales growth and 11.5% EBITDA growth, all while distributing 50% of its free cash flow to shareholders via dividends. M&A only contributed 1 point to these numbers.

Exhibit 1: Revenue and constant-currency growth, 2016–2025



Light bars = Vivendi-era UMG segment / 2021 prospectus carve-out (stitched). Source: Vivendi, UMG annual reports.

Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Revenue (€m)	5,267	5,673	6,023	7,159	7,432	8,504	10,340	11,108	11,834	12,507
Constant-ccy growth	~4%	~10%	~10%	~18.8%	6.5%	~17%	13.6%	9.1%	~7.6%	8.7%

Source: company filings, Claude

While streaming remains the key growth driver, subscriber growth is slowing from the breakneck pace of the last decade. Developed markets are maturing,

although emerging markets continue to provide a runway for GDP+ organic growth.

Region	Penetration Rate*
North America	55%
Latin America	31%
Europe	30%
Global	18%
Rest of world	9%

*Streaming paying subscribers as % of smartphone users (2025)

Source: Morgan Stanley

GS expects global streaming subscribers to grow at a 6% CAGR through 2035. And after a decade of flat rates, DSPs are raising prices and adding premium tiers. UMG expects this new pricing focus to drive annual revenue-per-subscriber growth of 4% to 5% through 2028. Coupled with mid-single-digit subscriber growth, UMG has a realistic path to achieving high-single-digit streaming-related revenue growth and 6-7% overall revenue growth over the foreseeable future. MS models an 11% CAGR in global subscription streaming revenue through 2028. The mix shift toward higher-margin streaming revenue should drive overall margin expansion and high-single-digit EBITDA growth.

The 2024 Capital Markets Day set 2023-28 targets of 7%+ revenue CAGR, 8-10% subscription CAGR, 10%+ adjusted EBITDA CAGR, and 60-70% free cash flow conversion.

Growth doesn't require much investment. UMG is primarily a royalty business that operates with almost no tangible capital. Its ROE — including substantial acquisition-related intangibles and non-earning long-term investments in Spotify and Tencent Music — has averaged a massive 50%, with low leverage. Removing its long-term investments from the balance sheet, which are non-core to operations, increases ROE into the triple digits.

UMG's high returns are anchored by a negative working capital cycle: it receives streaming payments from DSPs monthly while paying most artists semi-annually. This provides UMG with approximately $5 billion in operational "float", more than its total equity.

A high-return business model like this, combined with above-average organic growth, creates a powerful driver of intrinsic value.

Free cash flow has lots of puts and takes. Earnings and free cash flow diverge for a few reasons: catalog amortization; fair-value gains and losses on the Spotify and Tencent Music stakes; swings in artist advances (FCF below earnings in heavy signing years). There is an ongoing debate over whether catalog acquisitions are maintenance or growth capex, which heavily impacts return calculations. The truth lies somewhere in between, but I lean toward calling it growth capex and exclude 80% of it from my FCF calculation.

What Happened In 2Q?

On July 31st, UMG lost a quarter of its market value when they reported 2Q earnings and subscription revenue grew only 6.7% vs. expectations of 9.3%. That is the bear case compressed into one data point. But the streaming market remains healthy. Peer results confirm it. Management said churn is not rising. The issues appear company-specific and mostly temporary, like a light release schedule, not systemic issues. Here is how I see it:

2Q26 Subscription Growth Bridge (ex-Downtown, cc)	
Subscriber volume growth	5.7%
Wholesale price increases (Streaming 2.0)	3.5%
Market share headwind (light release schedule)	-1.5%
Minimum guarantees, audits and catch-up payments	-1.0%
Reported growth	**6.7%**
Growth excluding temporary issues	**9.2%**
Memo: Warner 2Q subscription streaming	+10.8%
Memo: Sony Music 2Q streaming revenue	10.0%

sources: filings, J.P. Morgan

Simple volume + price drove 9.2% subscription growth, not too shabby. But these other issues turned 9.2% streaming growth into 6.7%.

But that wasn't the only thing that got investors' panties in a bunch: it was the 3.5% pricing. UMG says that 3.5% included the full benefit of its Streaming 2.0 deals with the DSPs, where retail prices went up around 9-10%.

DSP	US price increases	Increase
Spotify	February 2026: Individual $11.99 → $12.99; Duo $16.99 → $18.99; Family $19.99 → $21.99	+8% to +17%
Amazon Music Unlimited	March 2026: Individual $11.99 → $12.99; Family $19.99 → $21.99	+8% to +10%
YouTube	June 2026: Music Premium $10.99 → $11.99; Individual $13.99 → $15.99; Family $22.99 → $26.99	+9% to +17%
Apple Music	August 2026: Individual $10.99 → $11.99; Family $16.99 → $19.99; Student $5.99 → $6.99	+9% to +18%
Cumulative	Share of US paid user base that has seen a rate increase by Q4 2026	~92%
Source: Claude		

So DSPs that account for 65-70% of UMG's subscription revenue raised prices by 9-10%, but it only drove 3.5% pricing? Shouldn't it have been closer to 6%? Where did the Streaming 2.0 benefit go?

This deserved to be called out. It appears to be a mix issue. We found J.P. Morgan's answer persuasive:

"Why has the pricing benefit been smaller than expected? YouTube mix

We believe that the issue was not really a reflection of UMG not being able to achieve Streaming 2.0 price rises; rather, it is a function of package/subscriber mix, particularly for YT. If UMG had shown a 6% like-for-like price rise but a 2-3% tiering headwind, perhaps it would have been better received…

We believe the Q2/2026 issue lies with YT, which likely represents c.25% of UMG's subscription revenues and explains the smaller-than-expected pricing contribution. We believe that the YT subscriber mix has supported sub growth, but weighed on the average royalty from a YT Music subscriber, offsetting the benefit of price rises." - J.P. Morgan analyst.

Standalone YouTube Music Premium subscribers have grown from ~30MM in 2023 to ~40MM today, while full YouTube Premium — a video bundle that includes music — has grown from ~55MM to ~102MM. The share of Premium subscribers who actually use the music service has fallen from ~56% to ~50%. In other words, YouTube Premium is growing faster than YouTube Music Premium, and a rising share of Premium users don't actively use Music. Add the mix shift from long-form video, where UMG's take rate is roughly 2.5x higher, to Shorts, and you get a ~10% price rise offset by a ~10% tiering and mix headwind. Per-customer royalties are roughly flat. UMG reports only the net figure, so investors saw a company that cannot get price.

This issue amplified the conversation around who holds the balance of power in the industry: the DSPs or music companies. Long-term, I still think UMG owns the keys, as no DSP could survive without them. Their must-have catalog should give them pricing power. Apple complaining that the rent is too high is about the best evidence of landlord pricing power. But in the short term, it has led investors to lower pricing expectations on the margin. However, UMG should still be able to drive high-single-digit subscription growth, with a high ROIC that should drive double-digit value growth.

Another sore point is the decline in Adj. EBITDA margins, which fell from 22.7% in 1H25 to 21.1% in 1H26.

Adjusted EBITDA margin bridge, H1 2026 vs H1 2025	
H1 2025 margin	22.7%
Artist costs	+0.2
Product costs (vinyl, merchandising, live)	–0.5
Corporate costs (legal and professional fees)	–0.3
Prior-year one-time items	–0.3
Other SG&A	+0.1
H1 2026 margin ex-Downtown	22.0%
H1 2026 margin including Downtown	21.1%

Source: filings, J.P. Morgan

The margin miss feeds the narrative that UMG has no operating leverage and that artists are clawing back economics. But excluding Downtown, it was product costs (+50bps, on strong vinyl and merchandising sales), corporate costs (+30bps, on legal and professional fees spent protecting rights and building AI licensing frameworks), and a 30bp drag from a settlement last year. While UMG could be accused of taking its eye off the ball from a cost-management standpoint, core-business profitability is not eroding. A mix shift to lower-margin businesses that are growing faster appears to be the main driver of lower margins. That is a permanent change driven by management's decision to buy Downtown because the independent segment is taking share of releases. Management expects Downtown's profitability to more than double and its ROIC to reach 15% as it removes duplicated SG&A.

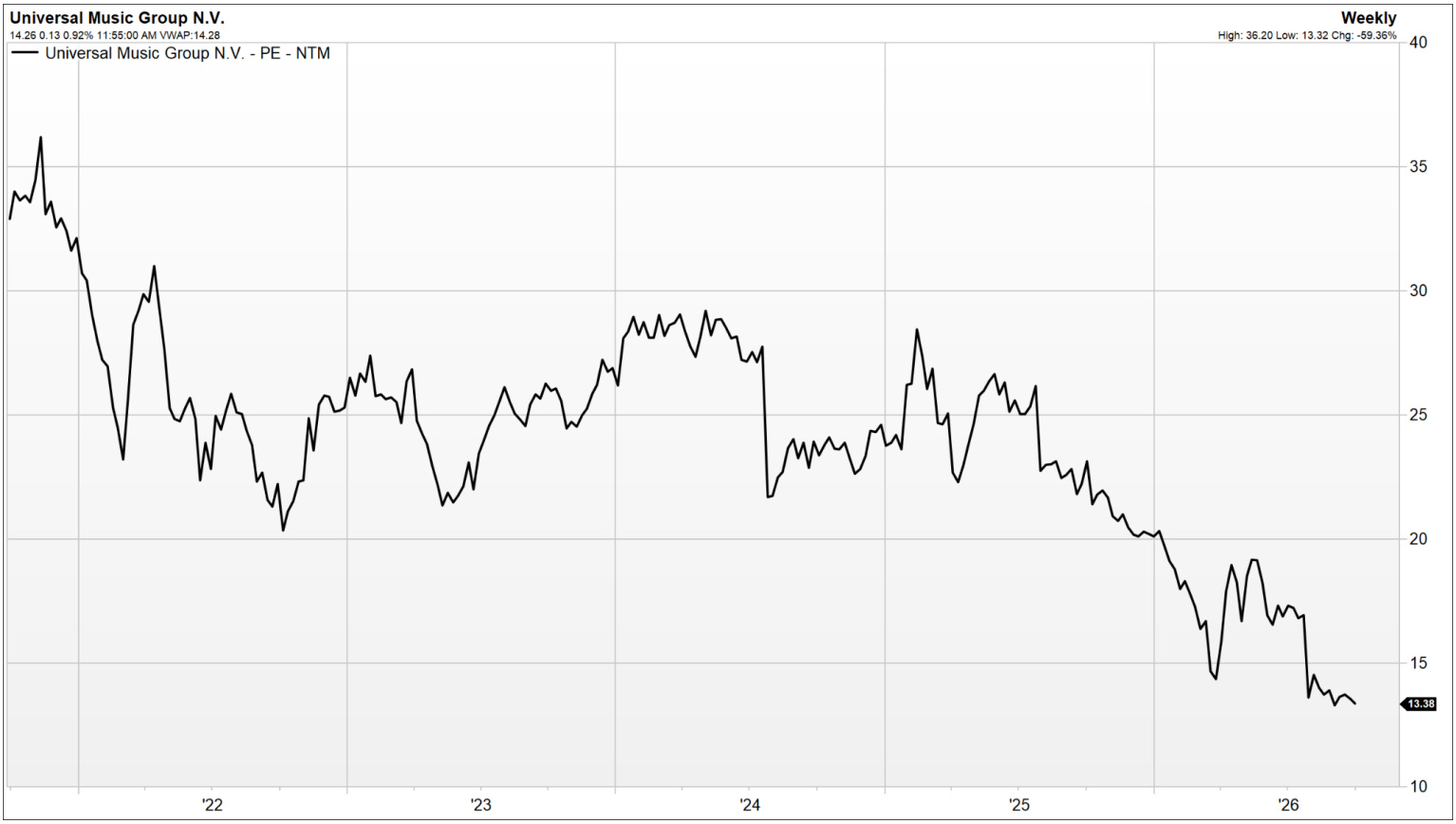
Zoom out, and it's an entirely different story. Adj. EBITDA margin scaled from 14.9% in 2015 to 17.7% in 2019 and to 22.5% in 2025. Recorded Music margins went from roughly 11% to 26%. I get that investors don't like the low-margin Downtown acquisition, but keep it in perspective.

FCF was also pointed to as particularly weak in 1H. FCF over any short-term horizon should be viewed in the context of industry norms like regular lumpy working capital swings.

Valuation

Headline Valuation	
'27e P/E	12.9x
'27e P/E ex-investments	12.0x
'27e P/FCF ex-investments	13.5x
'27e EV/EBITDA	9.3x
Dividend Yield	3.6%

Since going public nearly five years ago, UMG has traded at a median forward P/E of almost 25 times — a huge 50% premium to the equal-weighted S&P 500.



Here we sit at 13x '27e. Excluding investments in Spotify and TME, UMG's P/E falls to 12.0x. Close comp Warner Music Group trades at 14.4x despite lower scale, higher leverage, an inferior frontline, and arguably an inferior back catalog. WMG has historically traded at 20-25x NTM earnings.

DCF math implies a fair multiple for UMG around 20x forward EPS, or €21.80. Adding the equity investments puts fair value at €22.80, 63% upside plus a 3.6% yield — roughly a double over a three-year horizon. That would be an exceptional outcome for a high-quality compounder, yet it would still put the stock below its previous highs.

Is UMG's Catalog Alone Worth Morth More Than The Whole Company?

Morgan Stanley published a sum-of-the-parts for Warner on September 3rd that estimated just catalog value. We applied the same modeling to UMG to estimate the value of its catalog alone.

Catalogue Value Using MS WMG Framework	Low	Base	High
Catalogue share of streaming revenue	40%	50%	60%
Recorded Music catalogue (75% margin)	€ 2,130	€ 2,662	€ 3,195
Publishing catalogue (60% margin)	€ 372	€ 465	€ 558
Multiple	12.0x	13.5x	15.0x
Implied catalogue enterprise value	€ 30,024.00	€ 42,221.00	€ 56,295.00
Less net debt / plus listed stakes	-€ 4,131.00	-€ 4,131.00	-€ 4,131.00
Investments	€ 1,750.00	€ 1,750.00	€ 1,750.00
Implied equity value	€ 27,643.00	€ 39,840.00	€ 53,914.00
Per share	**€ 14.94**	**€22.05**	**€29.87**

Source: filings, Morgan Stanley

On the most conservative assumption — that catalog is only 40% of streaming revenue and valuing it at only 12x (well below private market values) — UMG's catalog alone is worth today's share price. You get the frontline business — physical, merchandising, licensing, sync, Virgin, Downtown, Chord, investments, relationships, and every artist UMG signs in the future for nothing.

Private buyers of music rights are paying 15-20x Net Publisher Share (NPS, i.e., catalog revenue). Morgan Stanley puts precedent transactions at 18.5x, on average.

Blackstone acquired Hipgnosis for 15x NPS, which was in line with where Hipgnosis historically deployed acquisition capital. Then Sony acquired the catalog this year at an estimated 21x NPS.

The BMG/Concord merger recently completed at 19.2x. Before that, in 2023, Concord acquired Round Hill Music at 19.6x.

Since going public, UMG's catalog acquisitions have averaged 16.6x NPS (basically asset-level EBITDA). UMG is currently 9.3x '27e EBITDA. Granted, one is

corporate-level, and the other is asset-level. However, it's still a glaring contrast, given UMG could probably sell its catalog at 15-20x EBITDA today and still leave a lot of value in the residual.

Chord, the UMG-managed catalog vehicle, priced a music royalty ABS earlier this year at 5.6%, a 160bp spread to Treasuries — the tightest ever for the asset class. Bond managers will lend against these cash flows at a spread that says "utility" while equity managers are pricing them far cheaper.

Take-out Potential

UMG's attractive valuation, asset-light business model, high returns, and stable catalog-driven cash flow make it attractive to activists and private equity. Unfortunately, tightly held ownership at the top makes a take-out nearly impossible without consent.

Key Ownership	
Bollore	18.4%
Tencent	11.4%
Vivendi	9.9%
Total	39.7%

The Bolloré family and Vivendi are essentially related parties and together control about 28% of the shares, blocking any bidder without their blessing. The only realistic route is a Bolloré-led take-private.

On September 15th, JPM published an LBO model on UMG. At a €20 bid, Bolloré would only have to write a €3.5bn check to take it private. This assumes the three largest shareholders roll their stakes and UMG is levered to 6x EBITDA. Their model is below.

Figure 2: LBO Summary – Key assumptions and returns

Key assumptions		Ownership & returns	
Offer price	€20	New PE IRR	19.4%
Premium to €14	42.9%	New PE MOIC	2.4x
Equity purchase price	€36,260	Bolloré + Vivendi IRR (€14 basis)	26.2%
Entry 1-year forward P/E	18.6x	Tencent + GIC IRR (€14 basis)	28.7%
Entry 1-year forward EV / EBITDA	12.7x	B+V entry ownership	57.6%
Existing strategic rollover	45.0%	B+V exit ownership	54.8%
New PE required	€3,504	Cumulative dividends	€3,213
Opening net leverage	6.0x	Exit forward EV / EBITDA	13.3x
New gross debt	€17,408	Exit equity value	€53,149
Weighted cash interest	5.9%	B+V proceeds (€bn)	€31
Exit net leverage	2.5x	B+V gain vs €14 basis (€bn)	€21
Exit 1-year forward P/E	20.0x	Management promote	5.0%

Bolloré (B), Vivendi (V)
Source: J.P. Morgan estimates.

The analog JPM used was Electronic Arts: a strategic holder rolled its stake, outside capital and debt filled the rest. A depressed stock price has created an opening for the big owners to take it private to capture the long-term upside. That is a risk and an opportunity.

Risks

Streaming growth - subscriber growth slows. Emerging markets are expected to drive a lot of the growth from here. EM economies are more volatile and unpredictable than developed markets. This could increase volatility in subscriber growth.

Streaming Pricing - It's lumpier and harder to forecast than subscriber adoption, as we saw in 2Q.

DSPs outmaneuver UMG - YouTube can keep shifting value inside its bundle — more Premium, fewer music-actives, more Shorts, Premium Lite as a pricing reference — and absorb UMG's contractual price increases. UMG has not broken out the tiering effect, so investors cannot see whether Streaming 2.0 is working.

AI - Machine-made tracks could take a growing share of a fixed royalty pool. UMG says they have contractual protections against this. Deezer says AI-generated tracks made up 50% of daily uploads, up to ~90,000 a day, though they draw only 1-3% of streams, and much of that is fraud.

Independent artists- non-major labels are growing faster than the majors, capturing over 31% of the global market. While UMG participates in this growth, it is at a much lower margin. While it is up to the artist to choose their path, almost no major artist hit the big time without a major label's help.

Podcasts - Pods are taking a growing share of overall listening, with market share estimated around 10% today. While this doesn't affect UMG's share of the

royalty pool, it does affect the size of the royalty pool. Pods are higher margin for DSPs, incentivizing a shift in listenership.

Cost Control. H1 SG&A ex-Downtown grew 8%. That's pretty high and doesn't allow for scale benefits. The €250m savings program has been partly reinvested.

Free cash flow - If you treat catalog acquisitions as maintenance capex, fair value drops a bit.

The controlling block - Bolloré and Vivendi at ~28%, Tencent at ~11.5%, voting together. They can block a bidder, block an activist, and time their own offer.

Governance - Sir Lucian's 2023 package totaled €139MM, including a €92MM transition award; Bonuses pay on revenue and adjusted EBITDA growth, neither of which charges for capital. The plan includes no ROIC or FCF metric.

M&A - overpaying for acquisitions, or bad deals.

Catalog decay - old recordings slowly lose share of listening to new ones. This is normal. It has slowed as streaming grows and new listeners sign up, but as streaming matures, catalog decay will increase.

Appendix:

	12/2018	12/2019	12/2020	IPO 12/2021	12/2022	12/2023	12/2024	12/2025	12/2026	12/2027	12/2028	Since IPO: CAGR/AVG.
Income Statement ($MM)												
Revenues	6,023	7,159	7,432	8,504	10,340	11,108	11,834	12,507	13,320	14,186	15,108	10.1%
Consensus Revenue									*13,453*	*14,418*	*15,403*	
COGS	3,110	3,818	3,917	4,609	6,131	6,590	7,155	7,642	8,272	8,809	9,382	
Gross Income	2,913	3,341	3,515	3,895	4,209	4,518	4,679	4,865	5,048	5,376	5,726	
SG&A	2,062	2,276	2,265	2,480	2,563	3,066	2,733	2,724	2,890	3,007	3,097	
EBITDA	851	1,065	1,250	1,693	2,024	1,834	2,355	2,587	2,592	2,794	3,047	11.2%
EBITDA margin	*14.1%*	*14.9%*	*16.8%*	*19.9%*	*19.6%*	*16.5%*	*19.9%*	*20.7%*	*19.5%*	*19.7%*	*20.2%*	
Operating Income	851	1,065	1,250	1,415	1,646	1,452	1,946	2,141	2,158	2,369	2,629	
Operating Margin	*14.1%*	*14.9%*	*16.8%*	*16.6%*	*15.9%*	*13.1%*	*16.4%*	*17.1%*	*16.2%*	*16.7%*	*17.4%*	
Operating Margin ex Intang. Amo.	*14.1%*	*14.9%*	*16.8%*	*18.7%*	*18.5%*	*15.6%*	*18.9%*	*19.5%*	*18.4%*	*18.8%*	*19.4%*	
Interest Expense	(1)	(22)	(42)	(51)	(73)	(118)	(142)	(168)	(146)	(102)	(63)	
Interest Income	27	14	5	6	20	17	22	27	0	0	0	
Non-Operating Income (Expense)	(6)	0	6	107	12	(13)	(3)	(1)	0	0	0	
Minority Interest	(5)	(3)	(3)	(2)	(3)	(4)	(7)	(7)	0	0	0	
Equity in Affiliates	(1)	(2)	(9)	5	(2)	0	4	(18)	0	0	0	
Income before Taxes	871	1,057	1,219	1,477	1,605	1,338	1,823	1,999	2,012	2,267	2,566	
Non-recurring Items	283	115	571	(317)	(703)	383	1,044	105	0	0	0	
Taxes	251	195	412	277	115	458	778	546	503	567	641	
Net Income	897	972	1,366	886	782	1,259	2,086	1,533	1,509	1,700	1,924	
Net Income Margin	*14.9%*	*13.6%*	*18.4%*	*10.4%*	*7.6%*	*11.3%*	*17.6%*	*12.3%*	*11.3%*	*12.0%*	*12.7%*	
GAAP EPS (calculated)	$0.33	$0.36	$0.51	$0.49	$0.43	$0.68	$1.13	$0.83	$0.84	$0.94	$1.07	
Reported #s/Consensus	***$0.00***	***$0.00***	***$0.00***	***$0.49***	***$0.43***	***$0.69***	***$1.14***	***$0.84***	**$0.99**	**$1.11**	**$1.22**	10.1%
Economic EPS	**($0.08)**	**$0.32**	**$0.34**	**$0.72**	**$0.92**	**$0.68**	**$0.88**	**$0.95**	**$1.00**	**$1.11**	**$1.23**	10.1%
Fully-diluted shares	2,700.0	2,700.0	2,700.0	1,814.0	1,816.0	1,842.0	1,852.0	1,850.0	1,800.0	1,800.0	1,800.0	
Economic Earnings												
EPS before one-time items	(0.08)	0.32	0.34	0.62	0.77	0.53	0.72	0.79	0.84	0.94	1.07	
Intangible Amortization	-	-	-	0.10	0.15	0.15	0.16	0.16	0.16	0.16	0.16	
Economic EPS	**(0.08)**	**0.32**	**0.34**	**0.72**	**0.92**	**0.68**	**0.88**	**0.95**	**1.00**	**1.11**	**1.23**	
Economic EPS Growth	*#DIV/0!*	*-495.6%*	*5.7%*	*109.2%*	*27.6%*	*-25.7%*	*28.6%*	*8.1%*	*5.9%*	***10.6%***	***11.2%***	
Income Statement Assumptions												
Sales Growth	#DIV/0!	18.9%	3.8%	14.4%	21.6%	7.4%	6.5%	5.7%	6.5%	6.5%	6.5%	
Consensus Sales Growth									7.6%	8.2%	8.6%	
Gross Margin	48.4%	46.7%	47.3%	45.8%	40.7%	40.7%	39.5%	38.9%	37.9%	37.9%	37.9%	41.1%
Incremental Gross Margin	48.4%	37.7%	63.7%	35.4%	17.1%	40.2%	22.2%	27.6%	22.5%	37.9%	37.9%	
SG&A (% of sales)	34.2%	31.8%	30.5%	29.2%	24.8%	27.6%	23.1%	21.8%	21.7%	21.2%	20.5%	27.9%
SG&A Elasticity (3 yr ave)	n/a	n/a	#DIV/0!	49.2%	28.4%	71.5%	26.1%	30.0%	-28.8%	50.5%	65.9%	
Margin Impact from SBC	0.0%	0.0%	0.0%	0.0%	0.0%	3.9%	1.1%	0.9%	0.8%	0.8%	0.9%	
EBITA margin	**14.1%**	**14.9%**	**16.8%**	**18.7%**	**18.5%**	**15.6%**	**18.9%**	**19.5%**	**18.4%**	**18.8%**	**19.4%**	17.1%
EBITDA margin	**14.1%**	**14.9%**	**16.8%**	**19.9%**	**19.6%**	**16.5%**	**19.9%**	**20.7%**	**19.5%**	**19.7%**	**20.2%**	17.8%
Adj. EBITDA Margins				**19.9%**	**19.6%**	**20.4%**	**21.0%**	**21.6%**	**20.3%**	**20.5%**	**21.0%**	
Incremental EBITDA Margin	**14.1%**	**18.8%**	**67.8%**	**41.3%**	**18.0%**	**-24.7%**	**71.8%**	**34.5%**	**0.6%**	**23.3%**	**27.4%**	
GAAP Tax Rate	21.8%	16.6%	23.0%	23.9%	12.7%	26.6%	27.1%	26.0%	25.0%	25.0%	25.0%	22.2%
Cash Tax Rate	22.7%	16.3%	17.0%	17.3%	15.9%	29.4%	19.1%	20.2%	25.0%	25.0%	25.0%	19.7%
Cost of Debt	5.9%	71.0%	1.4%	1.8%	3.0%	5.6%	5.2%	5.2%	5.2%	5.2%	5.2%	
# of shares issued/(repurchased)	#VALUE!	-	-	(886.0)	2.0	26.0	10.0	(2.0)	(50.0)	0.0	0.0	
Price of shares issued/repurchased									$20.00	$22.00	$24.20	
Cash Flow												
Net Income	**897**	**972**	**1,366**	**886**	**782**	**1,259**	**2,086**	**1,533**	**1,509**	**1,700**	**1,924**	
Depreciation	0	0	0	103	110	106	113	150	138	129	122	
Intangible Amortization	0	0	0	175	268	276	296	296	296	296	296	
Deferred Taxes	0	0	0	0	0	0	0	0	0	0	0	
Change in Working Capital	179	82	287	85	74	164	(5)	38	0	0	0	
Employee Stock Comp	0	0	0	0	0	429	131	111	110	120	130	
Preferred Stock Dividends	0	0	0	0	0	0	0	0	0	0	0	
Other Operating Activity	(299)	(353)	(1,669)	(123)	471	(419)	(932)	(450)	(250)	(275)	(300)	
Cash Flow from Operations	**777**	**701**	**(16)**	**1,126**	**1,705**	**1,815**	**1,689**	**1,678**	**1,803**	**1,971**	**2,173**	
Capital Expenditures	(110)	(75)	(66)	(449)	(452)	(47)	(91)	(70)	(75)	(79)	(85)	
Acquisitions	(12)	(52)	(4)	(11)	(22)	(97)	(163)	(62)	0	0	0	
Divestitures	1	3	11	123	0	1	2	65	1,500	0	0	
Net Investments	7	(7)	11	(57)	(49)	(234)	(456)	(337)	0	0	0	
Other Investing Activity	0	0	0	0	0	(252)	(358)	(470)	0	0	0	
Cash Flow from Investing	**(114)**	**(131)**	**(48)**	**(394)**	**(523)**	**(629)**	**(1,066)**	**(874)**	**1,425**	**(79)**	**(85)**	
Change in Long-term Debt	(11)	2	625	(439)	(421)	(168)	566	154	(1,000)	(700)	(800)	
Equity Issuance	0	0	0	0	0	0	0	0	0	0	0	
Share Repurchase	0	0	0	0	0	0	0	0	(1,000)	0	0	-
Dividends	(981)	(1,002)	(283)	(785)	(798)	(929)	(933)	(953)	(988)	(1,052)	(1,120)	
Other Financing Activity	(1,422)	(90)	(110)	(96)	(98)	(106)	(104)	(108)	(100)	(100)	(100)	
Cash Flow from Financing	**(2,414)**	**(1,090)**	**232**	**(1,320)**	**(1,317)**	**(1,203)**	**(471)**	**(907)**	**(3,088)**	**(1,852)**	**(2,020)**	
Net Cash Flow	**(1,770)**	**(528)**	**133**	**(556)**	**(134)**	**(51)**	**158**	**(168)**	**141**	**39**	**68**	
Exchange Rate Effect	(19)	(8)	(35)	32	1	(34)	6	(66)	0	0	0	
Free Cash Flow ex-SBC	667	626	(82)	677	1,253	1,339	1,467	1,497	1,619	1,771	1,958	
FCF per share ex-SBC	**$0.25**	**$0.23**	**-$0.03**	**$0.37**	**$0.69**	**$0.73**	**$0.79**	**$0.81**	**$0.90**	**$0.98**	**$1.09**	
FCF margin ex-SBC	*11.1%*	*8.7%*	*-1.1%*	*8.0%*	*12.1%*	*12.1%*	*12.4%*	*12.0%*	*12.2%*	*12.5%*	*13.0%*	
FCF/EBITDA	**78%**	**59%**	**-7%**	**40%**	**62%**	**73%**	**62%**	**58%**	**62%**	**63%**	**64%**	
Earnings/FCF conversion ex-SBC	-301%	71%	-9%	52%	75%	107%	90%	85%	90%	89%	88%	
Total Cash on Hand	306	364	327	585	439	504	580	494	635	675	743	

Investments:

Asset	Value (MM's)	Note
Spotify	~€1.400	Sold just under a third of the planned half in H1 for €403m gross; artists share the proceeds
Tencent Music (~0.79%)	~€0.2bn	Marked to market
Chord equity affiliate	~€0.35bn	J.P. Morgan carries it at €350m; income already in adjusted EPS
Vevo	~€0.15bn	J.P. Morgan estimate
The catalogue	Far above book	Carried at amortised acquisition cost; internally built catalogue carries nothing

Source: filings, J.P. Morgan

Disclaimer

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Catalyst

Temporary issues fade allowing streaming growth to return to HSD.

A possible take-out.

Messages

Subject	Unit economics
Entry	10/04/2026 01:58 PM
Member	JohnKimble

I've seen headlines for various artists selling their catalogues and I've always been shocked by the prices. Has UMG or Sony or anyone else published IRR's or similar metrics for the purchase of large catalogues? I don't mean "target deals" but actual J-curves of real results? I just see the prices paid and my gut is like how can UMG make a good return with these prices?